CHAPTER 9

MUTUAL FUNDS: AN IDEA WHOSE TIME HAS GONE

Investing is a game of patience and investors get rewarded if they invest for the long-term. The longer one stays invested the greater are the rewards. Buy a value, sit on it and let time do the rest. However in today's changing times investors shun the age-old wisdom of long-term investing and chase the illusion of short-term quick profits. Keynes is often quoted–"In the long run we are all dead"–to justify the speculative urge of short-term quick profits. The strategy is to time the market rather than invest in good sustainable businesses. Sometimes you go right and make a quick buck. But the game of timing can be very difficult and it is hardly advisable when it concerns one's hard-earned money.

Everything changes but there are certain principles that do not change. The power of principles is that they are universal timeless truths. If we live our life based on these we can quickly adapt and apply them anywhere. In fact, in a fast-paced, ever changing world, we cling to practices, structures and systems for some sense of predictability in our lives. Forget the principles and we are headed for trouble. Investment management is a profession but it is being run like a business. So the rules of sound investment take a back seat and the rules of business dominate.

We have created and nurtured an investment society where insanity works. Let us see how this sort of behaviour has impacted the mutual fund industry and how that industry is responsible for the volatility in the stock market.